

FALLING NEW COLLECTIONS

- ▶ Net inflows into equity funds declined 26% to ₹29,303 crore in February
- ▶ Thematic funds dipped 37% after a fall of 41% in January

Growth/Equity Oriented Schemes	Net Inflow February 2025	% Growth (M-o-M)	Net Inflow January 2025	% Growth (M-o-M)
● Dividend Yield Fund	68.65	-68	214.64	-23
● Sectoral/Thematic Funds	5,711.58	-37	9,016.60	-41
● Large & Mid Cap Fund	2,655.97	-36	4,122.95	8
● Small Cap Fund	3,722.46	-35	5,720.87	23
● Mid Cap Fund	3,406.95	-34	5,147.87	1
● Multi Cap Fund	2,517.69	-29	3,567.38	16
● ELSS	614.7	-23	797.03	324
● Value Fund/Contra Fund	1,347.42	-13	1,556.45	3
● Flexi Cap Fund	5,104.22	-10	5,697.58	20
● Large Cap Fund	2,866.00	-6	3,063.33	52
● Focused Fund	1,287.72	64	783.07	72

NOTE IN ₹ CR; SOURCE: AMFI

ping the SIP or redeeming your investment, note down the NAV of your fund today. Revisit it a few years later, and you'll see whether your decision was right or wrong. The Nifty has declined just 15-17%. If such a correction makes you uncomfortable, clearly you are not an equity investor to start with," says Mohanty.

The wild swings in small and mid-caps are nothing new. Aashish Somaiyaa, CEO of WhiteOak Capital AMC, says the small-cap index plunged 66% from January 2018 to April 2020. Then, it quadrupled by October 2021, only to fall back to 2018 levels by March 2023. It surged to a new high in 2024 and has now dropped 25%. "This level of volatility is not for everyone. That's why we don't have an open-ended small-cap fund. Entering at the peak and panicking when markets fall 20-25% is a recipe for disaster."

While fund managers and industry leaders stress the need to have patience, mutual fund distributors are playing a critical role in managing investor anxiety, especially in smaller towns and rural areas. Take

Soni Sharma, a 38-year-old distributor in Aligarh, Uttar Pradesh, who has over 250 clients. She spends most of her days calming investors rattled by the market dip. "Around 40% of my clients have called me in panic," she says. "Most of my time is spent reassuring them that their losses are on paper unless they withdraw. The market has cycles, and patience is the key." She says those who have recently invested lump sums or started SIPs less than three years ago are the most anxious. "Investors who have been in the market longer understand that corrections are part of the journey. They've seen the cycles and know that markets recover over time," she adds. Will investors stay the course or will this volatility lead to a long-term shift away from SIPs?

"India's SIP boom is likely to continue, fueled by growing financial awareness, rising retail participation, and a shift from physical to financial assets. Over the past five years, monthly SIP inflows have tripled, reflecting investor confidence in SIPs as a disciplined, long-term investment strategy. The expansion of digital platforms,